BUSINESS MEMO

To	:	Brand Manager & Marketing Team — Skincare Division
From	:	Vista Sasmita Padmanagara, Data Analyst
Date	:	Thursday, November 05, 2026
Subject	:	Strategic Insights “Tokopedia Skincare Market (Moisturizer & Sunscreen)”

EXECUTIVE SUMMARY

An analysis of 300 Moisturizer & Sunscreen products on Tokopedia (estimated revenue: IDR 1.76 Trillion) shows that the market is highly concentrated: only 10 brands control 78.5% of revenue, and Official Stores dominate with 91.2% of revenue despite having fewer products. Low prices do not guarantee high sales (correlation is only 0.27), and ratings are no longer a differentiator (90% of products have 4.8–5.0 ratings). The real keys to success are store reputation and presence in Jabodetabek.

KEY FINDINGS

1. Price Is Not the Main Driver of Sales
    - 73% of products are priced below IDR 100K (median: IDR 75K).
    - However, the correlation between price and sales is only 0.27 (log scale) — meaning expensive products can also sell well.
    - Implication: Price wars are not a sustainable strategy. Value proposition and trust matter more.

2. Ratings Are "Saturated" — No Longer a Differentiator
    - 9 out of 10 products have ratings between 4.8 – 5.0.
    - Average ratings across store types are similar: Official Store (4.88), Power Merchant Pro (4.83), Regular (4.64).
    - However, Official Store sales are much higher — meaning store type (trust signal) is more important than product rating.

3. Market Is Highly Concentrated (Winner-Takes-Most)

- Top 10 Brands (Glad2Glow, Glowsophy, The Originote, Wardah, Scora, Emina, Glow&Be, ELEM Beauty, Azarine, FORMULA) control 78.5% of revenue.
- Official Stores represent only ~13% of products but contribute 91.2% of revenue.
- Implication: New brands face high barriers unless they have strong differentiation or strategic partnerships.

4. Jabodetabek Is the Main Battleground
    - Top 3 locations (Kab. Tangerang, Kab. Bogor, Tangerang) control ~70% of revenue.
    - Kab. Bekasi, Jakarta Utara, Kab. Sidoarjo complete the dominance of Jabodetabek and surrounding areas.
    - Implication: Logistics, advertising, and inventory strategies should prioritize these regions.

STRATEGIC RECOMMENDATIONS

1) Focus on building Official Store / Power Merchant Pro status — this is the biggest trust multiplier, not product ratings.
   Target: Brands still using Regular stores
2) Avoid price wars — differentiate through bundling, content marketing, or exclusive variants instead.
   Target: Brands with thin margins
3) Prioritize distribution & advertising in Jabodetabek — 70% of revenue is here.
   Target: Marketing & Supply Chain teams
4) Invest in NLP for review analysis — since ratings are saturated, text sentiment is the next frontier for understanding customers.
   Target: Product & Data teams
5) Study the Top 10 Brands' playbook — Glad2Glow (IDR 393B), Glowsophy (IDR 189B), The Originote (IDR 168B) are worth analyzing.
   Target: Strategy team

CAVEATS & LIMITATIONS

- Revenue is estimated based on sales categories — actual figures may be slightly lower.
- Data only covers the top 5 pages per category — smaller brands on later pages are not included.
- Analysis is cross-sectional (October 2026) — it does not capture seasonal trends (e.g., spikes during 10.10 / 11.11 sales).

NEXT STEPS

1. Deep-dive into Top 10 Brands — analyze their product variants, pricing, and content strategies.
2. Sentiment Analysis on reviews (NLP) to complement rating metrics.
3. Time-series forecasting to anticipate seasonal trends.
4. Market Basket Analysis for Moisturizer + Sunscreen bundling strategies.

Attached: Interactive Power BI Dashboard & Aggregated Dataset
[Dashboard Link] | [GitHub Repository Link]